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POLKINGHORN v. GENERAL MOTORS, LLC
CU25-01685

Demurrer to First Amended Complaint

TENTATIVE RULING

Defendant General Motors LLC's demurrer is sustained with leave to amend in part and overruled in part.

Defendant's demurrer to the first four causes of action is sustained with leave to amend.

A plaintiff must plead facts showing that the claims have not been extinguished by a statute of repose. (*PGA W. Residential Ass'n, Inc. v. Hulven Int'l, Inc.* (2017) 14 Cal.App.5th 156, 178.) Any action covered by Code of Civil Procedure section 871.20 cannot "be brought later than six years after the date of original delivery of the motor vehicle." (Code Civ. Proc. § 871.21(b).) At the time Plaintiff filed his complaint, section 871.20(a) applied to any "action seeking restitution or replacement of a motor vehicle pursuant to **subdivision (b) or (d) of Section 1793.2**, Section 1793.22, **or Section 1794 of the Civil Code**, or for civil penalties pursuant to subdivision (c) of Section 1794 of the Civil Code, where the request for restitution or replacement is based on noncompliance with the applicable express warranty." (Former Code Civ. Proc. § 871.20(a), emphasis added.)

Plaintiff's first two causes of action are clearly subject to the statute of repose. Although Plaintiff claims that his third cause of action for violation of Civil Code section 1793.2(a)(3) is not subject to the new procedures because it is not a cause of action seeking restitution or replacement pursuant to subdivisions (b) or (d) of section 1793.2, this cause of action seeks civil penalties pursuant to subdivision (c) of section 1794. (FAC, ¶ 64.) And, Plaintiff's fourth cause of action for breach of the implied warranty seeks restitution or replacement pursuant to Civil Code section 1794. (*Id.* at ¶ 69.)

There are only three statutory circumstances that toll this statute of repose:

1) the period of time the parties engaged in a qualified third-party dispute resolution process, 2) the period of time the vehicle is out of service by reason of repair for any nonconformity, and 3) the period of time after a pre-suit notice is provided to the manufacturer in order to seek civil penalties prior to commencement of an action. (Code Civ. Proc. § 871.21(c).) Because "[t]he purpose and effect of a statute of repose [] is to

override customary tolling rules arising from the equitable powers of courts”, “statutes of repose are not subject to equitable tolling.” (*Cal. Pub. Employees’ Ret. Sys. v. ANZ Sec., Inc.* (2017) 582 U.S. 497, 508.)

Plaintiff alleges that he “entered into a warranty contract” with Defendant on March 11, 2017 by purchasing the vehicle from Mazzei Chevrolet, an authorized dealership. (FAC, ¶¶ 6, 8.) It can be reasonably inferred from these allegations that Plaintiff took original delivery of the vehicle on March 11, 2017. Plaintiff did not file this action until February 19, 2025, nearly eight years after the date of delivery. Consequently, Plaintiff had to plead, with specificity, some exception to, or a sufficiently lengthy period of tolling of, section 871.21(b). Plaintiff has not alleged any circumstances providing for a sufficient amount of tolling. Plaintiff claims tolling under the “Repair Doctrine”, but does not allege the total period of time the vehicle was out of service for repairs. And, although Plaintiff does allege entitlement to tolling pursuant to the Emergency Rules Related to COVID-19, the tolling provided by those rules is limited to the period between April 6, 2020 and October 1, 2020, a period of only 178 days. (Emergency Rule 9(a).)

Plaintiff contends that it would be a violation of his due process rights to apply the new procedures because it would immediately cut off his remedies or in so short a time that he could not reasonably avail himself of his remedies before the new procedures became effective. “In California, statutes of limitations, being procedural, are normally retroactively applied to accrued causes of action; but the court must inquire whether, in a given case, that retrospective application may violate due process by in effect eliminating the plaintiff’s right.” (*Aronson v. Superior Court* (1987) 191 Cal.App.3d 294, 297.) Plaintiff has not established that no time was left, or only an unreasonably short time was provided, for him to file his action.

The new procedures were signed into law on September 29, 2024 and became effective on January 1, 2025. Plaintiff had over three months after the bill was signed by the governor before it became effective, but makes no attempt to allege or otherwise demonstrate that this period of time was unreasonably short. Plaintiff filed his action on February 19, 2025, after the new procedures had gone into effect.

The law was almost immediately amended to apply only to actions against manufacturers that timely elected to use the new procedures, which became effective on April 2, 2025. But, in enacting this amendment, the Legislature indicated if a manufacturer did not timely make the election, the new procedures “shall not apply to ... actions already filed between January 1, 2025 and the effective date of the act adding this section”. (Code Civ. Proc. § 871.30(c).) This statute establishes the Legislature’s intent that the new procedures would apply to pending actions that had been filed after January 1, 2025 if the manufacturer timely opted into the new procedures.

Defendant's demurrer to the fifth cause of action for fraudulent concealment is overruled.

The running of the statute of limitations for this cause of action does not appear "clearly and affirmatively" from the allegations of the first amended complaint. (*Roman v. County of Los Angeles* (2000) 85 Cal.App.4th 316, 324; *Lockley v. Law Office of Cantrell* (2001) 91 Cal.App.4th 875, 881.) Although the cause of action would normally accrue at time of sale, Plaintiff has adequately alleged facts supporting delayed discovery. Plaintiff alleges that the transmission defect is latent. (FAC, ¶ 68.) Plaintiff alleges that the vehicle was presented for repair for a check engine light on April 1, 2024 and for issues with the transmission on June 19, 2024. (FAC, ¶¶ 13-14.) Plaintiff alleges that he "continued to experience symptoms of the defects in the Vehicle" after these repairs were made. (FAC, ¶ 15.) Assuming the allegations are true, Plaintiff would not have had reason to suspect that the transmission was defective until he experienced symptoms of the defect and these symptoms continued despite assertions that the problem had been fixed and the vehicle was operating as intended.

And, the allegations of the cause of action are similar to those found sufficient in *Dhital v. Nissan N. Am., Inc.* (2022) 84 Cal.App.5th 828. Plaintiff has alleged that the transmission was defective (FAC, ¶ 71), Defendant knew of the defects and the hazards they pose (*id.* at ¶ 73), Defendant had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information (*id.* at ¶¶ 74, 76-78), Defendant intended to deceive plaintiff by concealing known transmission problems (*id.* at ¶ 76), Plaintiff would not have purchased the vehicle had he known of the defects (*id.* at ¶¶ 75), and Plaintiff has been damaged in the form of money paid to purchase the car (*id.* at ¶ 82). An adequate transactional relationship is established by the allegation that the vehicle was purchased from an authorized dealership. (*Dhital*, 84 Cal.App.5th at 844.) In fact, "a vehicle manufacturer owes a duty to purchasers of its vehicles to disclose known defects." (*Gilead Tenofovir Cases* (2024) 98 Cal.App.5th 911, 949, review granted.)

Plaintiff shall have 10 days from the date of the hearing to file and serve an amended complaint.

9:30 a.m. CALENDAR
